

INDUSTRY OVERVIEW

MARKET SIZING

Instant beverage premix industry in India

Year	Value (millions \$)
2024	65.41
2030	90.48

Key Market Drivers

Increasing Demand for Convenience

Rise of E-Commerce & Q-Commerce

Health & Wellness Trends

Rising Tea & Coffee Culture in India

Performing competitive benchmarking to reveal Cup Ji stands out for its product differentiation but needs to build market presence to outpace competitors

Brand	Market Presence	Product	Price Point Appeal	Distribution Reach
Cup-jī [®]	Low	High	Medium	Medium
NESCAFÉ	Medium	Medium	High	Medium
TEAIOGY	Medium	Medium	Medium	High
SLEEPY OWL COFFEE	Medium	Medium	Medium	Medium
chaipoint	High	Medium	Medium	Medium
Chaayos	Medium	Medium	Medium	High

Devising an obtainable market size for Cup Ji

Market Type	Value (₹ Cr)
TAM	~ ₹ 1,92,600
SAM	~ ₹ 16,178
SOM	~ ₹ 81

INSIDE THE CONSUMER MIND – PERSONAS, PAIN POINTS & PURCHASE DRIVERS



Consumer Segmentation based on Primary Research to tailor Cup Ji’s Go-to-Market Strategy

PRIMARY SURVEY HIGHLIGHTS



Key Highlights

- ➔ **100%** of respondents belong to the **urban middle to upper-middle class demographic**
- ➔ **~40%** reported **no daily tea/coffee pain points** yet a majority **still expressed interest** in accessing Cup Ji at **airports and metro stations**
- ➔ **~53%** consider "not knowing the taste" a major **barrier** to purchase ; while **~75%** say **free sampling** would influence their buying decision

ANALYSING POTENTIAL CONSUMER PERSONAS

	 CONSUMER	 Anjali, 27, Overworked Analyst	 Riya, 20, College Student	 Amit, 40, Building a Startup
		Lives alone, 14-hour work days, needs 2 cups tea/coffee daily	Commutes by metro, spends on ready to drink options	Travels frequently, wants budget friendly options on the go
 PAIN POINTS		Can't get the consistency right using instant tea/coffee sachets, ends up buying RTD options	Needs good quality, flavor rich, healthy options everyday, doesn't want to spend Rs. 300 on cafes	No major pain point in everyday lifestyle but struggles to find hygienic, tasty, affordable options at airports, metro stations
 TRIGGERS TO BUY		• Convenience • Quick caffeine fix without effort • Solves a real lifestyle gap	• Convenience • Affordability • Premium quality feel	• Value-for-money option in overpriced locations • Portable and self-serve: no queue, no wait
 BARRIERS		• Reluctant to commit to big packs without tasting • Unsure if the flavor matches café quality	• Might prefer known RTD brands • Doesn't always have access to hot water	No major barriers

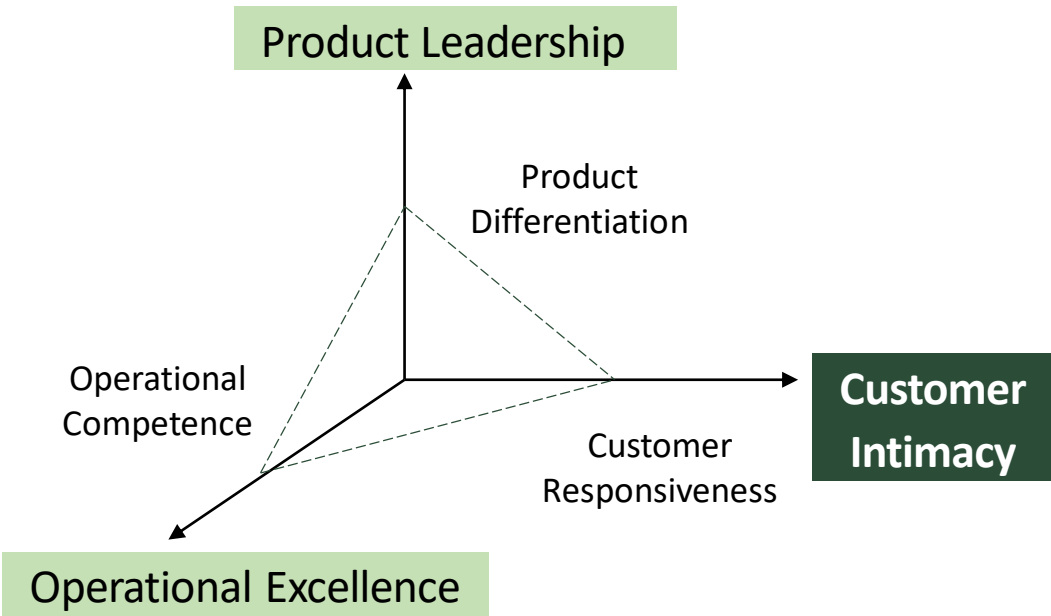
BRAND POSITIONING



Mapping Cup Ji’s Transition from Product Leadership to a Brand that Resonates with Consumers

IDENTIFYING THE NEED TO SHIFT FOCUS TO CUSTOMER INTIMACY

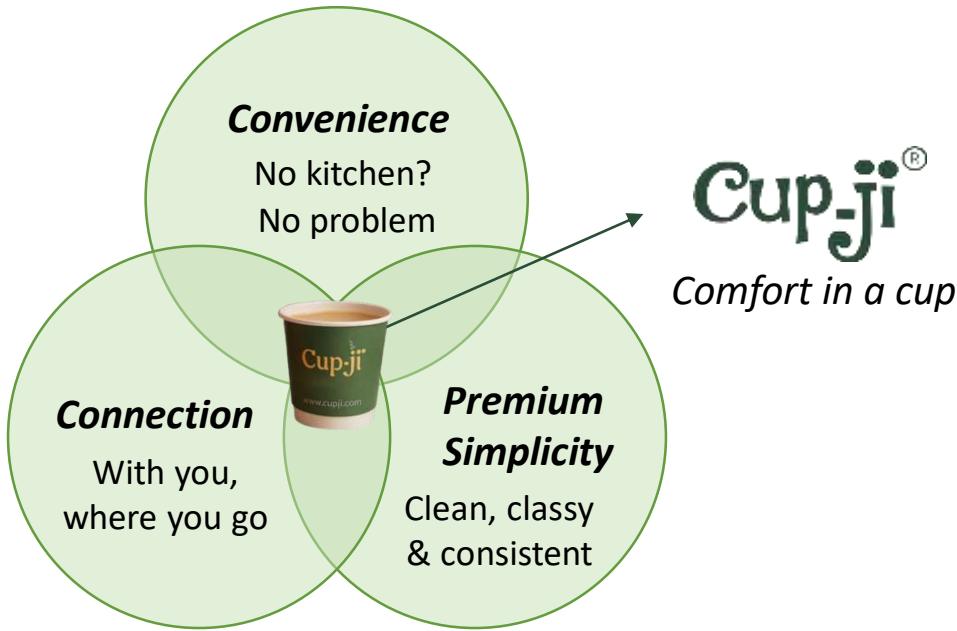
Value Discipline Framework



While product innovation is Cup Ji’s strength, in a replicable category like tea/coffee it isn’t defensible in the long-term. To build lasting loyalty, the brand should shift focus to **customer intimacy**

BRAND POSITIONING

From a product, to a brand that ‘gets’ you



 *Cup Ji isn’t trying to replace your home chai
It’s here for all the moments your home chai can’t be*

VENDING LED DISCOVERY & DISTRIBUTION



Driving Trial and Recall by Placing the Product at High-Intent Locations

LAUNCHING CUSTOM VENDING MACHINES FOR CUP JI



Targeting airports and metro stations for initial rollout to cater to customer pain points

AIRPORTS

~56% Respondents want convenient, budget friendly options for tea and coffee at airports

~4.3 months To recover investment



High Footfall



Long Idle Time



Overpriced F&B



Aligned Target Audience

✓ Sell at Premium Prices
Masala Chai @ Rs. 60 / Cup
Cappuccino @ Rs. 75 / Cup

✓ Strategically place alongside snack machines or near existing tea/coffee kiosks

METRO STATIONS

~43% Respondents want convenient, affordable options for tea and coffee at metro stations



Strategically target stations like **Hauz Khas** in Delhi, **Indiranagar** in Bangalore

Partnering with Vendekin to get smart vending machines customized for Cup Ji



X



✓ Integrated with software for **real time inventory management**

✓ **Digital and card payments** facilitated, **user friendly interface**

Industry Overview

Customer Segmentation

Brand Positioning

Vending Led Distribution

Institutional Sales

D2C Expansion

Marketing

Financial Evaluation

Appendix

5

INSTITUTIONAL SALES – CUP JI IN HOTEL ROOMS



Selecting Hotel Partners to Elevate In-room Guest Experience with Convenient Tea/Coffee Solutions

FILTERING POTENTIAL HOTEL PARTNERS

Choosing the hotel chain in which customer demographics align



Hotels	Target segment fit	In-room tea/coffee	Pan India presence	Operational Feasibility
ITC	✗	✓	✓	✗
Radisson	✓	✓	✓	✓
Lemon Tree	✓	✓	✓	✓
Marriott	✗	✓	✓	✗
Ginger	✗	✓	✓	✓

Proposed Commercial Structure

- Provide 2 Masala Chai + 2 Cappuccino cups per room as **complimentary** stock at **wholesale rates**
- Other **SKUs** like **flavored teas** can be placed in **minibar/pantry** as **MRP-based chargeable** items

WIN-WIN FOR CUP JI, CUSTOMERS & HOTELS

~56% Respondents want sachets and machines replaced with convenient alternatives in hotel rooms



Lacks Taste, Consistency



Complex to Use

- ✓ Taste
- ✓ Convenience
- ✓ Ease

What's in it for hotels...

- ✓ **First-mover advantage** and a chance to **differentiate on guest experience**
- ✓ Aligns with **customer expectations**, brings in a unique touchpoint to **stand out**

TARGETED D2C EXPANSION – TRAVEL FRIENDLY PACKS ON Q-COMMERCE



Maximizing Access through Q-Commerce and Pricing for both Margin and Perception

EXPANDING D2C SALES VIA Q-COMMERCE			PRODUCT AND PRICING		
~47% Respondents want product availability on fast and familiar platforms including Q-Commerce and Supermarkets			~49% Respondents primarily want packs for travel solutions available on these platforms		
<i>Prioritizing Q-Com (~95% market share) while deferring offline retail expansion due to high capital intensity and low early ROI</i>  ✓ Launch products on Zepto in the same metro cities as currently operational and boost in-app visibility using Zepto Jarvis & SEO to drive product discovery and recall ✓ Launch Cup Ji on Blinkit and Swiggy Instamart in the same 3 cities			Targeting 3 metro cities – Delhi, Mumbai, Bangalore (~60% Q-Commerce orders)  Positioning product packs of 5,15,30 as travel-friendly SKUs  Prioritize compact, utility-first designs over aesthetics in packaging  Deploy charm pricing for stronger value appeal (Instead of Rs. 250, price it @ Rs. 249) Cup Ji's prices are ~40% higher than Teaology - Instead of reducing prices, optimize perception and access through...  Keeping the MRP as is for premium quality perception  Offering steep website discounts to convert price sensitive customers  Offering combo packs and bundle deals on Q-Commerce to increase impulse buying  Differentiate significantly on positioning and storytelling		

MARKETING CAMPAIGN TO BUILD REACH, RECALL & BRAND AFFINITY



Driving Visibility, Trial and Conversion with Cost Effective, Result-Oriented Marketing

SEEDING CURIOSITY



Influencer-led awareness with Kritika Goel (travel influencer) & Ananya Gupta (lifestyle, travel, food) to seed product visibility and unlock word-of-mouth

Advocating portability, convenience and taste of travel packs on Instagram Reels

Featuring Cup Ji's vending machine discovery in an airport travel vlog

KRITIKA GOEL

ANANYA GUPTA

700k
 184k



109k
 12.5k

DRIVING DISCOVERY



Investing in targeted SEO campaigns around high-intent keywords to fix the low rank in search engine visibility

"Instant Chai" "No kitchen tea"
"Tea Premix"
Relevant Keywords
"Ready-to-drink tea" "Premix Coffee Cup"
"Travel friendly coffee" "Instant Coffee"

For Q-Commerce...

Leverage tools like 'Jarvis': Zepto's in house advertising service

- ➡ Up to **8x returns** on ad spend
- ➡ Access to **advanced data insights** e.g. customers shopping habits
- ➡ Pay only for **results**

CONVERTING



Sponsoring high-footfall fests in Delhi University to serve two-fold objective via stalls



SAMPLING & VISIBILITY: Sell sample cups at no profit-no loss, e.g. Rs. 15/ Masala Chai cup

Two-fold objective

CONVERTING: Sell packs on-site for consumers who wish to purchase after trying



~20,000
Per day footfall at large fests

IMPLEMENTATION AND FINANCIAL EVALUATION

Assessing the Financial Viability of each Strategy & the Roadmap Ahead

THE ROADMAP

PHASE 3 – SCALE (months 19 to 36)

Go offline through selective supermarkets like Dmart, Spencers to scale operations

PHASE 2 – GROWTH (months 7 to 18)

- Expand institutional sales to offices, PGs, gyms
- Expand the placement of vending machines
- Expand Q-Commerce presence to all tier 1 cities

PHASE 1 – PILOT (months 1 to 6)

- Launch vending machines
- Institutional sales via hotels
- Marketing campaign
- Q-Commerce presence across metro cities

KEY FINANCIAL METRICS

The numbers reflect a financially viable go-to-market strategy

~Rs. 6.86 Lacs

Devised NPV from vending machine investment during **pilot phase** (6 months)

~Rs. 1.4 Cr

Estimated revenue from **hotel sales** during **pilot phase** (6 months)

~ 30%

Estimated EBITDA Margin (Project Case)

~ Rs. 21

Customer Acquisition Cost

KEY PERFORMANCE INDICATORS (KPIs)



GMV and Revenue

To measure the **effectiveness** of the proposed solutions and **compare performance** across different sales channels



Customer Conversion Rate

To assess the **appeal** and **acceptance** of the product by **target customer** segment



Return on Investment

To assess the **profitability** and **financial viability** of investments

APPENDIX - LAUNCH POSTERS (SAMPLES)



LOOKING FOR EASY AIRPORT CAFFEINE?

...WE'VE GOT YOU!



INTRODUCING
CUP JI
VENDING

Brewed fast. Priced fair. Finally.

NOW AT INDIRA GANDHI INTERNATIONAL AIRPORT





PASSPORT? CHECK.
POWER BANK? CHECK.
CHAI & COFFEE STOCK FOR 10 DAYS?
DOUBLE CHECK.

CUP Ji TRAVEL FRIENDLY PACKS

with you, where you go

NOW LIVE ON



zepto



Swiggy
Instamart

 BANGALORE | DELHI | MUMBAI

POV: YOU'RE LATE AGAIN BUT YOUR CHAI IS RIGHT ON TIME

INTRODUCING CUP JI VENDING



caffeine that fits your commute

NOW AT YOUR NEAREST METRO STATIONS



TAM SAM SOM CALCULATION

Total Addressable Market		INR (Cr)	Rationale
Hot beverages market in India		₹ 2,14,000.00	Statista 2025 (Hot drinks includes tea, coffe and cocoa)
Hot tea and coffee market in India	90%	₹ 1,92,600.00	Assuming 90% market share is owed to tea and coffee
TAM		₹ 1,92,600.00	
Serviceable Addressable Market			
Instant tea and coffee market in India	60%	₹ 1,15,560.00	Assuming 60% based on an average of industry reports
Urban consumers market	70%	₹ 80,892.00	Coffee consumption trends in India Report by CRISIL, 2023
Consumers willing to pay for convenience in tea/coffee options	20%	₹ 16,178.40	Industry Standards (Indianretailer.com)
SAM		₹ 16,178.40	
Serviceable Obtainable Market			
Market share Cup Ji can realistically capture	0.50%	₹ 80.89	In lieu of limited awareness and acceptance of the cup format
SOM		₹ 80.89	

ESTIMATING EBITDA (1/2) – VENDING MACHINE AT AIRPORT

Potential Revenues - Vending Machine at Airport				
Pilot Launch:			Rationale	Source
Target airport	IGI Airport, Delhi		Busiest airport in India	
Target terminals	T1 & T3		T2 temporarily closed	
Machines deployed	2		1 at each terminal	
Revenue Estimation:				
Airport annual capacity (T1)		40000000	As per newdelhiaairport.in	https://www.newdelhiaairport.in/medias/factsheet
Airport annual capacity (T3)		45000000	As per newdelhiaairport.in	https://www.newdelhiaairport.in/medias/factsheet
Average annual capacity		42500000	Average of domestic and international passengers	https://www.livemint.com/companies/delhi-airport-wants-to-increase-international-traffic-capacity-by-4050-
Airport annual occupancy	70%	29750000	occupancy as per Live Mint	https://www.livemint.com/companies/delhi-airport-wants-to-increase-international-traffic-capacity-by-4050-
Airport daily occupancy	365	81506.85		
Travellers between age 21 to 40	80%	65205.48	As per themediaant.com	https://www.themediaant.com/airport/delhi-airport-advertising
Vending machine visibility	40%	26082.19	Considering it is strategically placed near existing kiosks	
Conversion rate	1%	260.82	This rate will grow as brand reach and recall improves	
Price per cup		₹ 67.50	Average of MRPs of masala chai and cappuccino cups	
Daily revenue per machine		₹ 17,605.48		
Monthly revenue per machine	30	₹ 5,28,164.38	Assuming 30 days in a month	
Total monthly revenue from both machines		₹ 10,56,328.77		

ESTIMATING EBITDA (1/2) – VENDING MACHINE AT AIRPORT

Cost Estimation:

	(% of revenue)			
COGS	20%		Assuming similar unit economics as disclosed in Shark Tank episode	
Logistics and Inventory Management	10%		Industry Standard	
Maintenance & contingency	10%		Industry Standard	
Revenue share	25%		Industry Average	https://timesofindia.indiatimes.com/life-style/food-news/rs
Variable cost per machine	65%	₹ 3,43,306.85		
Variable cost for both machines		₹ 6,86,613.70		
Rent to airport authority		30000	Industry Average	https://fraxotic.com/cost-to-install-vending-machine-india/
Fixed cost per machine		30000		
Fixed cost for both machines		60000		
Total monthly cost for both machines		₹ 7,46,613.70		
EBITDA per month		₹ 3,09,715.07		

ESTIMATING EBITDA (2/2) – VENDING MACHINE AT METRO STATIONS

Potential Revenues - Vending Machine at Metro Station				
Pilot Launch:			Rationale	Source
Target metros	DMRC		Largest metro network	
Target stations	Hauz Khas & Vishwavidyalaya		Among the busiest stations, maximum college crowd	
Machines deployed	2		1 at each station	
Revenue Estimation:				
Average footfall at a station in a day		100000	Average of Hauz Khas & Vishwavidyalaya footfall	https://timesofindia.indiatimes.com/city/delhi/metro-ph
Travellers between age 19 to 50	90%	90000	As per The Hindu	https://www.thehindu.com/news/cities/Delhi/delhi-met
Vending machine visibility	40%	36000	Considering it is strategically placed near existing food stalls	
Conversion rate	0.50%	180	This rate will grow as brand reach and recall improves	
Price per cup		₹ 67.50	Average of MRPs of masala chai and cappuccino cups	
Daily revenue per machine		₹ 12,150.00		
Monthly revenue per machine	20	₹ 2,43,000.00	Assuming 20 working weekdays in a month	
Total monthly revenue from both machines		₹ 4,86,000.00		
Cost Estimation:				
	(% of revenue)			
COGS	20%		Assuming similar unit economics as disclosed in Shark Tank episode	
Logistics and Inventory Management	10%		Industry Standard	
Maintainence & contingency	10%		Industry Standard	
Revenue share	20%		Industry Average	https://timesofindia.indiatimes.com/life-style/food-new
Variable cost per machine	60%	₹ 1,45,800.00		
Variable cost for both machines		₹ 2,91,600.00		
Rent to metro authority		5000	Industry Average	https://www.nmrcnoida.com/Content/pdf/KioskVending
Fixed cost per machine		5000		
Fixed cost for both machines		10000		
Total monthly cost for both machines		₹ 3,01,600.00		
EBITDA per month		₹ 1,84,400.00		

NPV & PAYBACK PERIOD – VENDING MACHINES

NPV Analysis & Payback Period

Assumptions

Tax rate	25%	Union Budget 2019, Ministry of Finance
Growth rate	5%	Assuming a conservative monthly growth rate during pilot
Discount rate	10%	Industry Standard
Cash flows before tax per month (airport)	₹ 3,09,715.07	EBITDA as calculated
Cash flows before tax per month (metro)	₹ 1,84,400.00	EBITDA as calculated
Total cashflows in the 1st month	₹ 4,94,115.07	

Initial Outlay:

Customised Smart Vending Machine	₹ 4,00,000.00	https://www.franchiseindia.com/insights/en/article/vend
Number of machines deployed in pilot	4	
Investment required	₹ 16,00,000.00	
Installation & maintenance	10% ₹ 1,60,000.00	Industry Average
Total initial outlay	₹ 17,60,000.00	

NPV Analysis

	Month 1	Month 2	Month 3	Month 4	Month 5	Month 6
Cashflows before tax	₹ 4,94,115.07	₹ 5,18,820.82	₹ 5,44,761.86	₹ 5,71,999.96	₹ 6,00,599.95	₹ 6,30,629.95
Cashflows after tax	₹ 3,70,586.30	₹ 3,89,115.62	₹ 4,08,571.40	₹ 4,28,999.97	₹ 4,50,449.97	₹ 4,72,972.46
PVF	0.99	0.98	0.98	0.97	0.96	0.95
Present Value	₹ 3,67,523.60	₹ 3,82,710.53	₹ 3,98,525.02	₹ 4,14,992.99	₹ 4,32,141.46	₹ 4,49,998.55
Total present value of cash inflows	₹ 24,45,892.15					
Cash outflow	-₹ 17,60,000.00					
NPV	₹ 6,85,892.15					
Payback period	4.36	Months				

ESTIMATING EBITDA – HOTEL PARTNERSHIPS (INSTITUTIONAL SALES)

Potential Revenues - Partnering with Hotel Chains				
Pilot Launch:		Rationale		Source
Target hotels	Radisson, Lemon Tree		Align with required demographics	
Number of hotels	20		10 each, spread across tier 1 cities - Delhi NCR, Mumbai, Pune, Bangalore, Kolkata, Hyderabad etc	
Number of cups in a room	4		2 of masala chai,2 of cappuccino	
Revenue Estimation:				
Number of rooms in a hotel		100	Industry average	https://www.lemontreehotels.com/lemon-tree
Target rooms for pilot	50%	50		https://www.radissonhotels.com/en-us/hotels
Price per cup		₹ 30.00	Average of wholesale price for masala chai & cappuccino cups	
Daily revenue per hotel		₹ 6,000.00		
Monthly revenue per hotel	20	₹ 1,20,000.00	Assuming 20 peak stay days in a month	
Total monthly revenue from all hotels		₹ 24,00,000.00		
Cost Estimation:				
	(% of revenue)			
COGS	50%		Assuming similar unit economics as disclosed in Shark Tank episode	
Logistics, Inventory & Miscellaneous	20%		Industry Standard	
Variable cost per hotel	70%	₹ 84,000.00		
Total monthly cost for all hotels		₹ 16,80,000.00		
EBITDA per month		₹ 7,20,000.00		

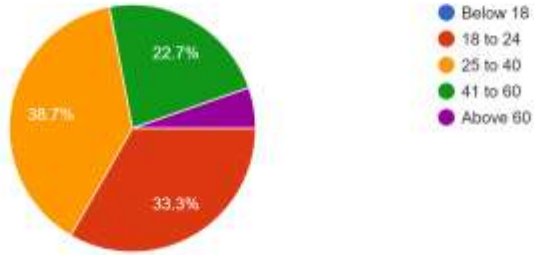
MARKETING COSTS BREAKDOWN AND CAC

Costs breakdown - Marketing Campaign				
Influencer Collabs		Cost	Rationale	Source
Kritika Goel	2 Reels	₹ 1,00,000.00	~50000 per reel based on competitors' influencer marketing prices	https://www.themediaant.com/influencer-marketing
Ananya Gupta	1 YouTube Vlog	₹ 20,000.00	Based on competitors' influencer marketing prices	https://www.themediaant.com/influencer-marketing
Total cost		₹ 1,20,000.00		
Search Engine Optimization				
SEO monthly plan		₹ 15,000.00	Industry average	
Zepto Jarvis		₹ 10,000.00	Cost based on impressions per month or equivalent KPIs	
			Assuming a conservative aggregate value based on industry standard	
Total cost per month		₹ 25,000.00		
Total cost during pilot phase	3	₹ 75,000.00	3 months	
Sponsorships				
Sponsoring DU fests		₹ 1,00,000.00	Assuming 2-3 fests , title mention + stall space	
Logistics		₹ 5,000.00	Considering travels, setting costs for stalls	
Sampling	10%	₹ 10,500.00	In terms of opportunity cost due to selling at no profit no loss	
Total cost		₹ 1,15,500.00		
Total Marketing Cost during Pilot Phase		₹ 3,10,500.00		
Customers acquired		15000	Assuming a conservative customer acquisition across D2C channels - airports, metro stations, & q-commerce during pilot	
Customer Acquisition Cost		₹ 20.70	*Total marketing expenses during pilot phase / New customers acquired	

PRIMARY SURVEY – SUMMARY (1/3)

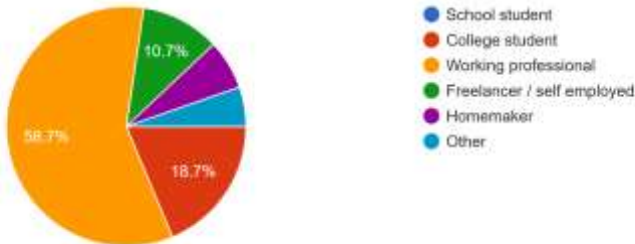
Q1

Please select your age group
75 responses



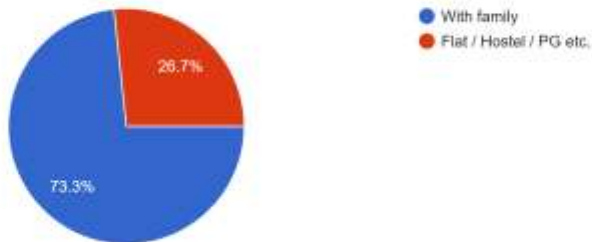
Q2

What best describes your current occupation?
75 responses



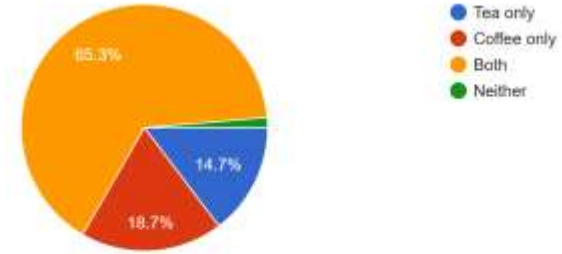
Q3

Where do you primarily reside?
75 responses



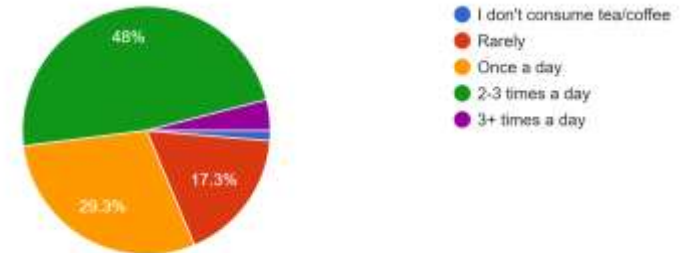
Q4

Are you a consumer of hot tea or coffee?
75 responses



Q5

How often do you consume tea or coffee in a day? (Please note- the reference to tea/coffee in the following questions includes only hot beverages i.e...are not talking about iced/cold tea/coffee options)
75 responses



Q6

How do you mostly prepare and/or consume your tea/coffee?
75 responses



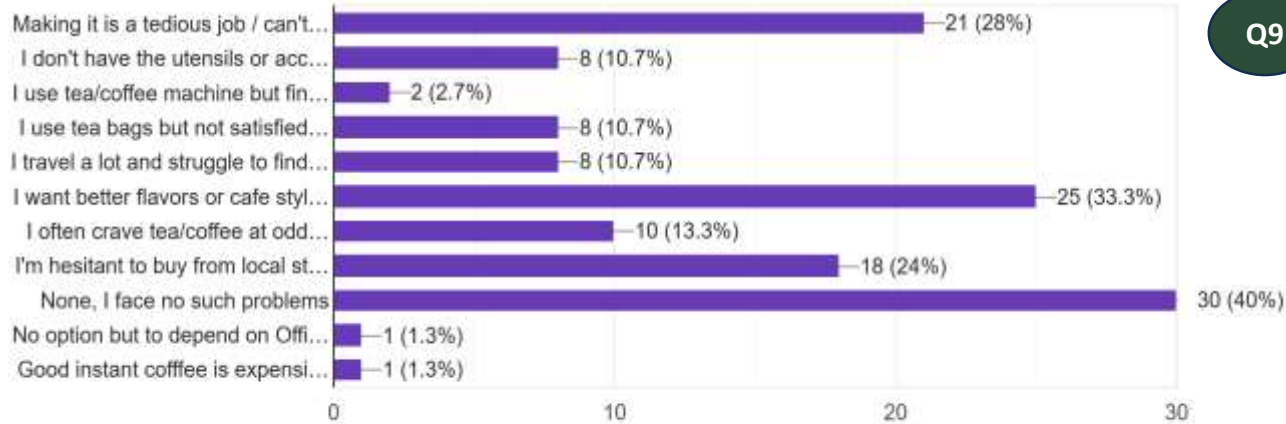
PRIMARY SURVEY – SUMMARY (2/3)

Q7

Please select the pain points (persistent problems) you face with respect to your tea/coffee habits.

Please select all that apply

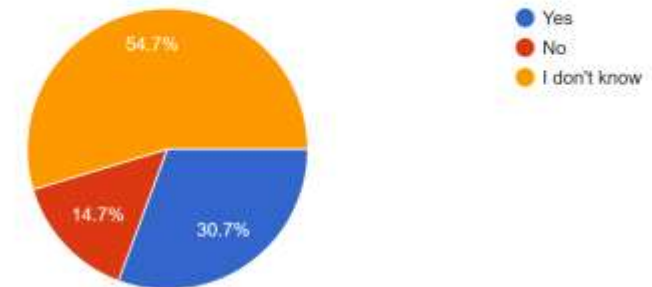
75 responses



Q9

Do you think the above described product - given it assures taste, safety and quality - will help solve your convenience/availability related tea/coffee problems?

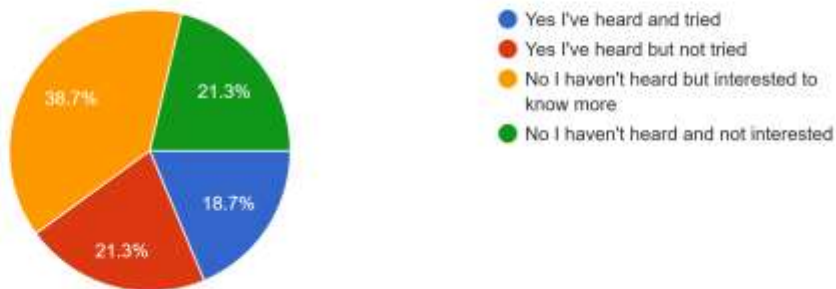
75 responses



Q8

Have you heard of ready-to-drink tea/coffee in a disposable paper cup (part of product) where you just have to add hot water to the cup and your drink ...nates the need for ingredients as well as utensils.

75 responses



Q10

How often would you consider purchasing this product - given it assures taste, safety and quality - at Rs. 40/cup for masala chai (Rs. 22 for variants li... / ginger tea etc.) , and Rs. 50/cup for cappuccino?

75 responses

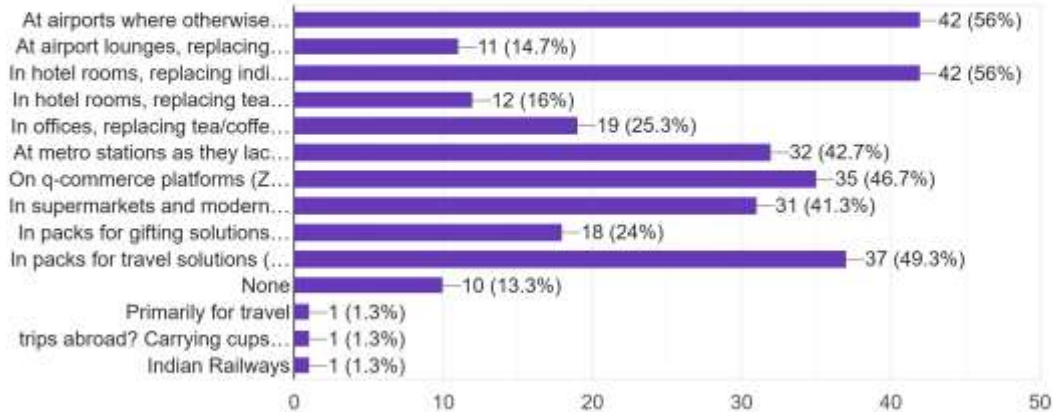


PRIMARY SURVEY – SUMMARY (3/3)

Q11

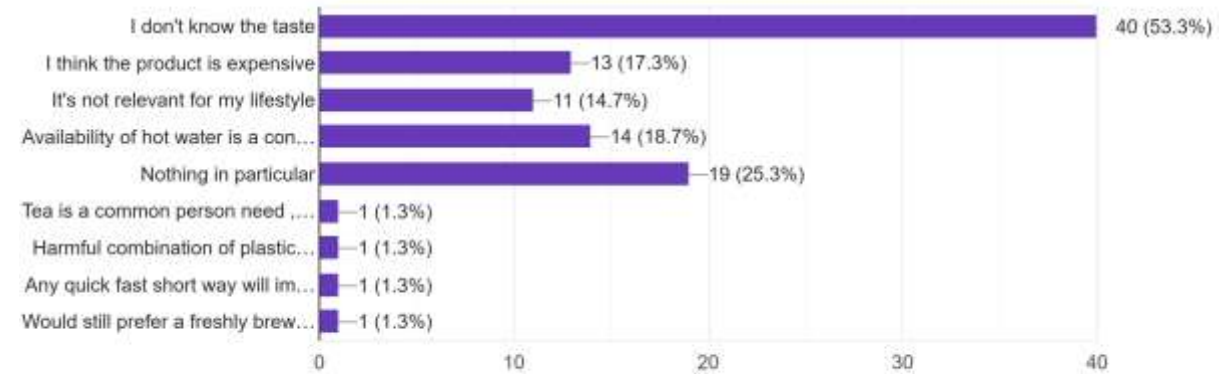
Please select all the places/situations where you would want this product to be available - given it assures taste, safety and quality. Please select all that apply

75 responses


Q13

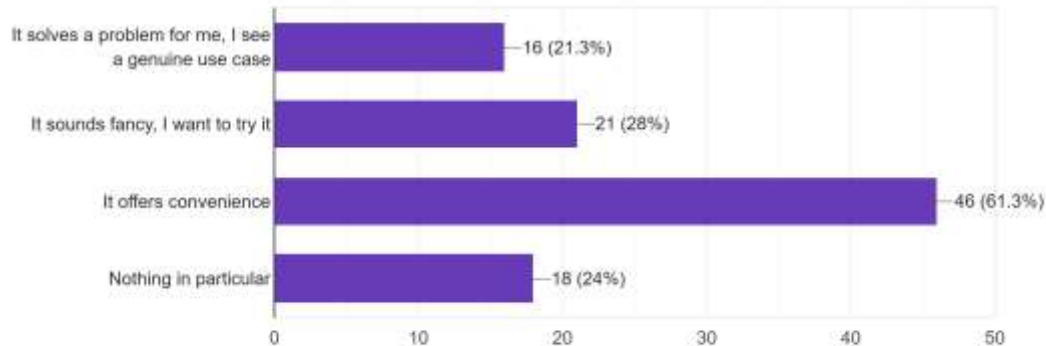
Which of the following aspects are acting as barriers in your purchase decision? Please select all that apply

75 responses


Q12

Which of the following aspects trigger you to buy the product? Please select all that apply

75 responses


Q14

How likely do you think free sampling (offering free samples in public places so you can taste and judge for yourself) can influence your purchase decision?

75 responses

